



Creating and managing superior customer value

Customer value: theory, research, and practice

Arch G. Woodside, , Francesca Golfetto, , Michael Gibbert,

Article information:

To cite this document: Arch G. Woodside, , Francesca Golfetto, , Michael Gibbert, "Customer value: theory, research, and practice" *In* Creating and managing superior customer value. Published online: 10 Mar 2015; 3-25.

Permanent link to this document:

[https://doi.org/10.1016/S1069-0964\(08\)14001-7](https://doi.org/10.1016/S1069-0964(08)14001-7)

Downloaded on: 10 January 2019, At: 08:29 (PT)

References: this document contains references to 15 other documents.

To copy this document: permissions@emeraldinsight.com

The fulltext of this document has been downloaded 2557 times since 2015*

Users who downloaded this article also downloaded:

(2008),"Creating and managing superior customer value", *Advances in Business Marketing and Purchasing*, Vol. 14 pp. iii-

(2008),"Customer value metrics", *Advances in Business Marketing and Purchasing*, Vol. 14 pp. 149-204

Access to this document was granted through an Emerald subscription provided by emerald-srm:325738 []

For Authors

If you would like to write for this, or any other Emerald publication, then please use our Emerald for Authors service information about how to choose which publication to write for and submission guidelines are available for all. Please visit www.emeraldinsight.com/authors for more information.

About Emerald www.emeraldinsight.com

Emerald is a global publisher linking research and practice to the benefit of society. The company manages a portfolio of more than 290 journals and over 2,350 books and book series volumes, as well as providing an extensive range of online products and additional customer resources and services.

Emerald is both COUNTER 4 and TRANSFER compliant. The organization is a partner of the Committee on Publication Ethics (COPE) and also works with Portico and the LOCKSS initiative for digital archive preservation.

*Related content and download information correct at time of download.

CUSTOMER VALUE: THEORY, RESEARCH, AND PRACTICE

Arch G. Woodside, Francesca Golfetto and
Michael Gibbert

ABSTRACT

This first paper examines total benefits and total costs of product–service designs as antecedents to customer value assessment. It introduces the reader to all the papers in this volume. The first half of the paper offers a model of customer value assessment. This section describes research studies in industrial marketing contexts that illustrate the core propositions in the model. The second half of the paper provides brief introductions to the papers in this volume; these papers offer further evidence supporting the view that discontinuous innovations offer superior customer value but customers tend to eventually become increasingly comfortable with the status quo and move away from adopting superior proven technologies. This paper advocates being mindful of the marketplace dynamics affecting value. The volume serves to increase knowledge and understanding of the dynamic forces affecting changes in customer value.

This first paper includes two objectives. First, the paper illustrates the use of value theory and measurement in business-to-business (B-to-B) contexts.

Creating and Managing Superior Customer Value
Advances in Business Marketing and Purchasing, Volume 14, 3–25
Copyright © 2008 by Emerald Group Publishing Limited
All rights of reproduction in any form reserved
ISSN: 1069-0964/doi:10.1016/S1069-0964(08)14001-7

Second, the paper introduces advances in research in describing and understanding product–service value in business markets – the second half of this introductory paper provides synopses of the papers in this volume.

STRATEGIC STANCE FAVORING THEORY AND MEASUREMENT OF VALUE

Achieving highly useful sense making about value concept and value metrics is important because of the substantial evidence that (1) customer assessments of total value in a product–service offering strongly affect acceptance and initial purchase, (2) customer evaluations of value experiences relate strongly with retaining them and growing the share of business that these customers award specific suppliers, and (3) increases in delivered-value implemented strategies relate positively to increases in profitability (Best, 2009).

Understanding and having the skill to apply useful value metrics are useful steps in creating alternative product/service-implemented strategies that offer high- versus low-value evaluations by customers. Also, such skill helps reduce the value overconfidence bias that is prevalent among marketing executives: “Only 8% of customers describe their experiences as superior, yet 80% of companies believe the experience they provide is indeed superior” (Meyer & Schwager, 2007). Dividing executive perception of customer share by actual customer share of superior value provides an overconfidence bias equal to 80/8, or 10.0. Certainly, this share varies among a set of competing firms in a product market, but most firms can expect to find an overconfidence bias greater than 1.0 for most of their products–services.

Value, from the perspectives of customers and marketers, is a multi-dimensional concept. Value as a concept represents a net score that includes measurement of total benefits perceived or realized and total costs of acquiring, using, and disposing of a product or service. Eqs. (1) through (4) are example value metrics appearing in the B-to-B marketing literature:

$$\text{Value} = \frac{\text{relative sum of weighted benefits perceived}}{\text{relative total costs perceived}} \quad (1)$$

$$\begin{aligned} \text{Value} = & \text{relative sum of weighted benefits perceived} \\ & - \text{relative total costs perceived} \end{aligned} \quad (2)$$

$$\text{Value} = \frac{\text{relative sum of total consequences}}{\text{relative total costs perceived}} \quad (3)$$

$$\text{Value} = \text{relative sum of total consequences} - \text{relative total costs perceived} \quad (4)$$

Measuring total consequences experienced in acquiring, using, and disposing of a product or service represents a product or service quality metric. Customer evaluations of total quality experienced is critical to the measurement of value realized, but such evaluations represent only one of the variables in the formulation of the concept of postexperience value metrics. The point is that value is a concept distinct from quality.

MEASURING PERCEIVED BENEFITS VERSUS CONSEQUENCES REALIZED

Note that the numerator in Eq. (1) calls for measuring benefits perceived for a given product–service design. Such measurement is often done in studies probing customers’ acceptances of alternative product–service designs before the marketer finalizes what designs to manufacture and what designs to reject. The objective of such studies is to collect customer judgments useful for marketers in designing product–service prototypes for further testing.

The numerator in Eq. (3) calls for measuring consequences experienced by customers. Such measurement is often done in studies probing the reasons for customer retention, customer decisions to eliminate suppliers, and customers’ decisions to increase or decrease the shares of purchase requirements among competing suppliers.

Eqs. (1) and (3) provide ratios indicating the relative value of competing product–service designs – potentially new designs in the case of Eq. (1) and existing competing designs in the case of Eq. (3). Assume for a moment that a customer judges product–service design (say, design R) and concludes that R has a weighted benefit sum equal to 120 and that the average among four alternative product–service designs have a weighted benefit sum equal to 90. Design R’s relative sum of weighted benefits perceived equals $120/90 = 1.33$. The relative total benefit of R is quite high with respect to at least one of the other three product–service designs – possibly all three of these alternatives. (The calculations for the components of overall benefit appear later in this chapter.)

Assume that a customer has the following information available for four alternative product designs. How might the customer go about assessing and selecting among these four competing designs?

Design	Relative Total Benefits	Relative Total Costs	Value
R	1.33	1.80	.74
S	1.10	.90	1.22
T	.80	.60	1.33
V	.70	1.10	.64

Using Eq. (1) to calculate the relative values of the four designs results in design T having the highest ratio of total benefits to total costs. Using these calculations indicates that design T is the design that the customer will decide to buy. In real life, most customers will not select design T even when using such an evaluation method; most customers will set a minimum level of total benefits that a design must achieve and select the design that meets or surpasses the minimum while offering cost savings – if such an alternative exists (Woodside & Wilson, 2000). In this example, most customers are likely to reject design T due to its low relative total benefits (.80) and select design S. While design S has lower relative total benefits than design R, design S has above-average relative total benefits in combination with below-average relative total costs.

The price-benefit performance map in Fig. 1 illustrates four product–service value locations. The dashed boundary region in Fig. 1 illustrates the product–service design values that most customers are willing to buy, and the three-dimensional box illustration depicts the ideal value location of substantially above-average relative value and substantially below-average relative total costs. The “fair-value line” represents location points where total relative benefits equal total relative costs.

Discontinuous innovations offering exceptionally high total benefits sought by a customer at exceptionally low total costs are examples of an ideal product–service design – location I in Fig. 1. Possibly surprisingly to read, some customers are unwilling to consider such designs for several reasons. These reasons include inertia, status quo bias, and the primacy effect (i.e., because prior purchases from existing suppliers are resulting in acceptable outcomes, why change?). Fear of failure of the new product–service design, additional work in examining test data, and search for evidence supporting the superior value of the discontinuous innovation work against its adoption by many customers.

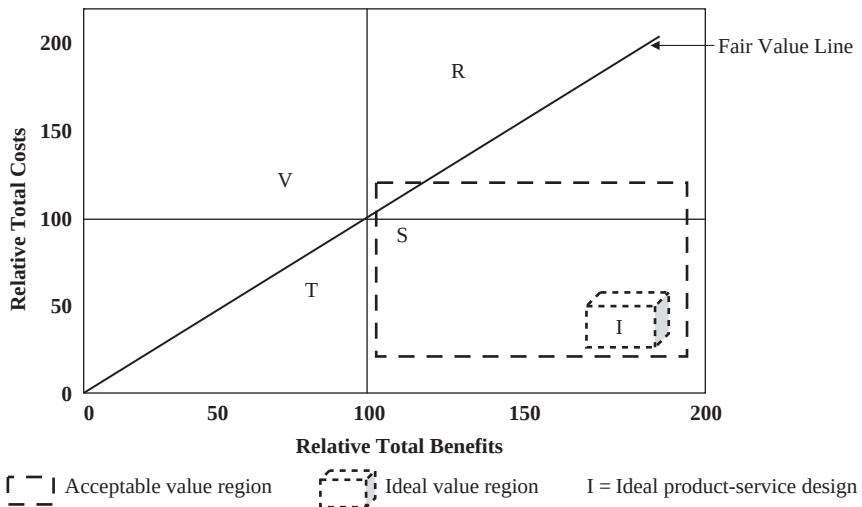


Fig. 1. Price-Benefit Value Map. Source: Adapted in part from Best (2009), Fig. 4-17, p. 119, and Gale (1994).

A recurring pattern across many industries includes early adoption of discontinuous innovations offering superior value by customers with very low purchase requirements – with big customers continuing to be comfortable with placing large orders with existing suppliers. After two to five years, rapid growth in purchases and shifts to buying product-services built using the new technology occurs; both large suppliers and buyers are slow to buy and build via the new technology platform (Christensen, 2003; Woodside, 1996).

Creating a “blue sky ocean” is the label given to designing marketing strategies that include building supplier value into product-service designs focused on attracting large numbers of customers with low purchase requirements – thereby avoiding large competitors. Such blue ocean strategies often result in growing new markets and conversion of large customers to product-services built on new technology platforms. See Kim and Mauborgne (2005) for a full exposition of blue ocean strategies.

Thus, three points are worth taking away from this discussion. Due to the high-technology electronic revolution, the occurrences of ideal value product-service designs may be infrequent, but they are not rare in the 21st century. Such ideal product-service designs frequently do *not* cause a rush to adopt among all customers (Christensen, 2003; Woodside, 1996).

Conflicts inside both the marketer and customer firms occur among the forces (i.e., individuals and departments) favoring inertia versus the forces favoring change – during strategic window instances when product–service designs offering superior value become apparent (Huff, Huff, & Barr, 2001).

Eqs. (2) and (4) represent calculating difference scores for relative total benefits or consequences versus relative total costs. The difference scores for the four designs

Design	Relative Total Benefits	Relative Total Costs	Value
R	1.33	1.80	−.47
S	1.10	.90	+.20
T	.80	.60	+.20
V	.70	1.10	−.40

result in a tie for the highest score for design S and T. Similar to calculating benefit/cost ratios, benefit-minus-cost difference scores are fraughted with problems of interpretations (Teas, 1993). Visualizing the data (Tufte, 2001) becomes a necessity for making useful sense of the metrics. Visualizing the data includes constructing price-benefit value maps similar in form as Fig. 1.

**ESTIMATING TOTAL BENEFITS OF ALTERNATIVE
PRODUCT–SERVICE DESIGNS**

Customers recognize several categories of benefits that accrue from physical attributes as well as service attributes for competing suppliers’ product–service offerings. This recognition is rarely totally explicit. Unconscious thinking affects (1) recognizing the benefits relevant to evaluating competing product–service designs, (2) the evaluation process, and (3) the heuristics (decision rules) that apply to selecting and rejecting designs based on benefits (Woodside & Wilson, 2000). Even when relative importance weights are assigned to benefits and a customer multiplies benefit scores by the weights, customers do not rely on the total scores in judging alternative designs. Rather than applying such a compensatory heuristic, customers apply decision rules that are noncompensatory and most often only partially explicit. Customers may go through compensatory computations to learn something about what such evaluation scores and then create and use noncompensatory rules.

Such noncompensatory rules often include simple subroutines. “Give exiting suppliers a second look” in the bidding process if a new untried

vendor offers a low price is an example of one such simple heuristic. “Never buy from a vendor that I do not know” is another simple heuristic.

Thus, while asking customers to estimate relative importance scores for different benefits may have some research value, the value of such research has severe limits. Multiplying relative importance by benefit ratings and summing does not provide accurate or relevant assessment as to the steps that customers take to estimating overall values of competing product–service designs (Gigerenzer, Todd, & ABC Research Group, 2000; Woodside, 2003).

As an example of possible benefits that customers may use to evaluate product–service offerings, Fig. 2 includes four categories of possible benefits. This example is for relatively new product–service: fiberglass-reinforced plastic (FRP) lampposts for on-street and off-street lighting applications. The benefit categories include product benefits, service and use benefits, company and brand benefits, and emotional benefits for the buying firm. Each product–service design under consideration by a buying firm has some benefits relating to its physical components – its product benefits. Service benefits include ease of use, ease of repair, and ease of installation, among other processes. Company and brand benefits relate to the reputation and industry awareness of the vendor. Emotional benefits relate to personality traits, and summary gist executives in the buying firm attach to the personalities of vendors. See Best (2009) for a full exposition.

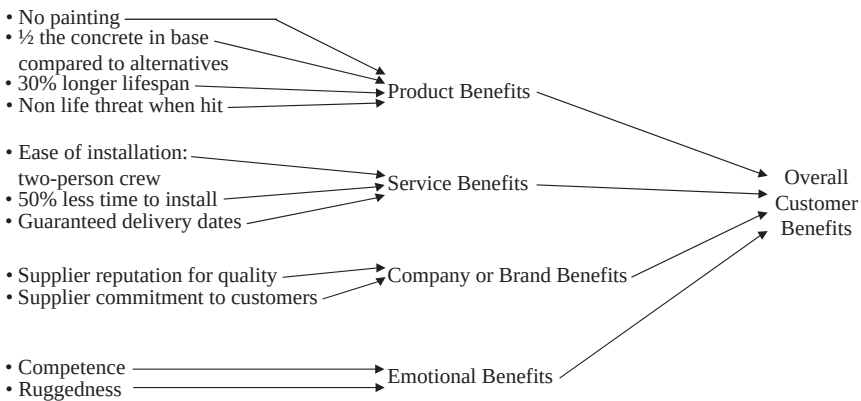


Fig. 2. Perceived Benefits and Value Creation for New Lamppost Standard (Fiberglass-Reinforced Plastic).

In the United States, the customer segment buying the largest share of lampposts are electrical utility firms. Among these firms, most standards (lamppost requirements) specify a component material: aluminum. Such requirements prevent consideration of FRP lampposts. Also, work to rewrite and gain approval for new requirements among large customers requires substantial time and involvement of several departments. The results include higher acquisition costs of FRP versus aluminum lampposts, at least for initial considerations of buying FRP lampposts.

Fig. 3 includes five categories of costs relating to buying product-service designs. The categories include prices paid, acquisition costs (i.e., cost of approving the vendor and product-service design as acceptable for purchase), ownership costs (including inventory costs and internal firm shipping costs), maintenance and usage costs, and disposal costs (e.g., damaged or deteriorating lampposts need replacing).

Fig. 4 illustrates the value creation process from the perspective of an off-street building subcontractor who is considering the purchase of 24 lampposts for a shopping mall – a relatively small purchase requirement in comparison to the annual purchase requirements of 1,500–4,000

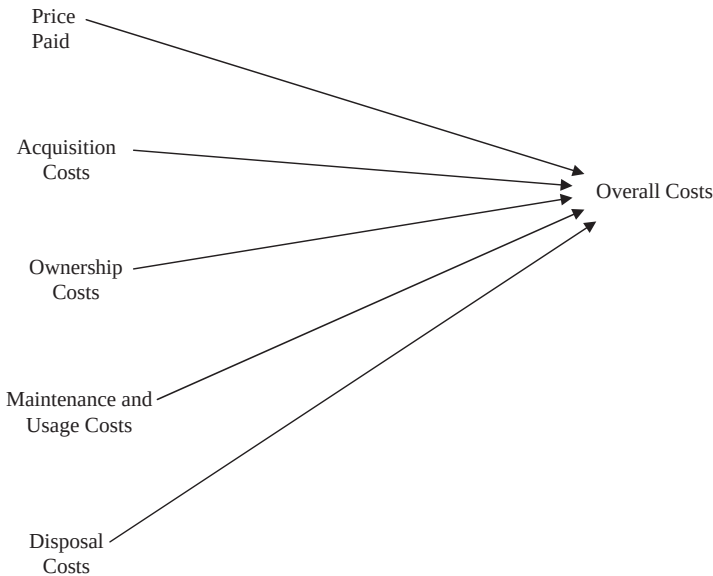


Fig. 3. Perceived Benefits and Value Creation for New Lamppost Standard (Fiberglass-Reinforced Plastic).

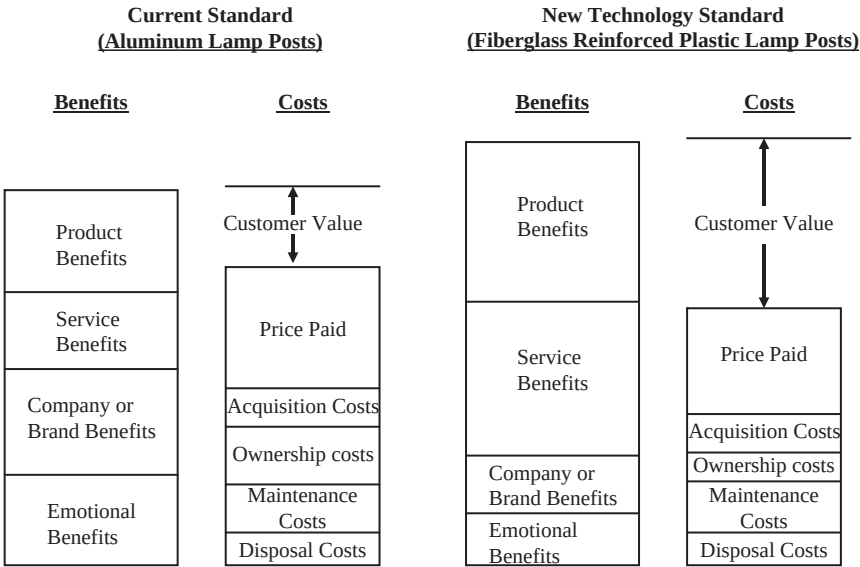


Fig. 4. Customer Value Analysis for Two Competing Products Built on Two Different Platforms.

lampposts by many electrical utility firms. Customer value here includes comparing the difference between total benefits versus total costs for each of two competing lamppost product–service designs. This subcontractor recognizes higher product and service benefits associated with the RFP versus aluminum lampposts and that these differences substantially more than offset the lower company, brand, and emotional benefits associated with the RFP versus aluminum lampposts.

The estimates for total costs of the RFP are lower for the RFP versus aluminum lampposts. The difference is mainly due to the lower price paid for the RFP versus aluminum lampposts.

In this example, the net customer value by this subcontractor for the FRP lampposts is more than double the customer value estimate for the aluminum lampposts. Such subcontractors examining the two competing product–service designs frequently came to this conclusion. Consequently, 80% of the purchases of FRP lampposts were to small subcontractors; median sales were five lampposts annually per customer.

The benefit and cost estimates for the two competing lampposts made by large customers did not conclude higher customer value for the FRP lampposts. Consequently, RFP standards did not achieve approval

among almost all large customers during the first 10 years of purchase availability of FRP lampposts. While most marketers of FRP lampposts directed sales calls to large electrical utility firms, only one of these firms placed a sizeable order for these lampposts. Most large firms continued to view total costs to be greater than total benefits for FRP lampposts, even though the price quotes were lower for FRP versus aluminum lampposts (Woodside, 1988).

IDENTIFYING CUSTOMER VALUE HEURISTICS

Customers do not think and purchase on the bases of “key drivers” or importance ratings. They think and act on the bases of contingency heuristics. Here is one example of a contingency decision rule: “I’m willing to pay relative price 10 percent higher for product-service from vendor X if the total costs are 30% lower and the total benefits for vendor X’s offering are within 95 percent of vendor Y’s product-service design.” Collecting information using methods other than asking importance ratings or the identification of key drivers are possible and often more useful.

Think aloud methods include asking buyers and users to describe their ongoing thinking in considering and selecting/rejecting specific competing product-service designs [e.g., see Woodside & Wilson (2000) for an application of the think aloud method in an industrial purchasing context]. The think aloud method is one approach for uncovering customer value heuristics. Building forecasting models of customers’ choices among various combinations of benefits and costs is another method. B-to-B studies into customer preferences frequently apply this second method – often referred to as conjoint analysis or trade-off analysis.

Asking importance and key driver questions do not accurately capture customer thinking heuristics in relevant contexts. “We can more accurately determine the benefits that customers value by asking them to make choices among products that have different benefits and different prices” (Best, 2009, p. 130; cf. Louviere & Islam, 2008).

This section illustrates conjoint analysis in an industrial product-service context. The application reported here was done by an industrial service division of a large US chemical manufacturing firm. The problem faced by the division was to select and design a new industrial MRO (maintenance, repair, and operating) service that substantial shares of one or more market segments would buy. The service, shotblasting, is a relatively new furnace tube cleaning innovation introduced commercially as a furnace cleaning

service in the early 1980s. The positive features of the new service include the following: (1) scale as well as coke removal; (2) no need to remove furnace plugs, if present; (3) an entire pass is cleaned in one operation (thus, furnace downtime is substantially less compared to the time required using competing cleaning methods); and (4) cleaning is conducted in a nonflammable, dry nitrogen environment. A negative feature of the new service was the high operator skill and attention required to balance the flow of propellant in the nitrogen carrier gas to prevent tube damage.

CENTRAL MANAGEMENT ISSUES

The shotblasting development and marketing team identified several marketing issues related to gaining customer acceptance of the new service. Four service features were selected to learn customer response to substantial changes in the levels of each attribute. The four attributes were:

- price
- cleaning time required
- energy efficiency achieved by the cleaning
- tube damage that may result from the cleaning

Each of these attributes could be changed substantially by management action; each was believed by two or more members of the shotblasting development and marketing team to substantially influence customer acceptance of the new service. Specific high, medium, and low levels of each attribute were selected for testing based on comparisons with existing attribute levels of competing services. For example, the new service was introduced into several targeted markets at \$22,500, a price believed by management to be close to the very high end of the relevant range of prices that would be considered for a cleaning service. The lowest price level selected for testing was \$13,000, substantially above the average cost to customers for a steam air decoking application but substantially below the cost for turbinizing (a competing cleaning technology). A price below \$13,000 for the shotblasting service was not viewed as feasible by the new service development and marketing team. Three members of the new service team believed that substantial market share increase would be achieved at the expense of turbinizing if the price of the shotblasting service was set 10% below rather than 12% above the customer's cost for turbinizing; thus, a third price of \$18,000 for the shotblasting service was tested.

Table 1. Competing Product–Service Design in the Conjoint Study.

Steam Air Decoking	
Price	\$6,000
Cleaning time	36 h
Energy efficiency	75%
Tube damage	0.020" carburization loss and thermal fatigue
Shotblasting	
Price	\$13,000, \$18,000, \$22,500
Cleaning time	4, 7, 14 h
Energy efficiency	75, 90, 100%
Tube damage	<.005", .005–.020", >(1/16)" metal loss
Turbining	
Price	\$20,000
Cleaning time	120 h
Energy efficiency	95%
Tube damage	> (1/16)" metal loss

Table 1 summarizes the profiles of the existing furnace tube cleaning product–services and the three levels tested for each of the four features of the new service. The upper and lower levels of the relevant ranges shown for shotblasting cleaning time, energy efficiency achieved, and tube damage were based on comparisons to existing performance levels of turbinizing and steam air decoking and what was feasible in practice. For instance, the minimum metal loss form of tube damage (.005") that could be guaranteed with the use of shotblasting was set as the lower limit of the relevant range for the new service. The existing levels of tube damage experienced often with the use of the other furnace tube cleaning services were selected as the other tube damage levels for testing. Close to a 100% energy cleaning efficiency could be guaranteed with the new cleaning service: the lowest cleaning efficiency offered with the new service was equal to the highest level of performance achieved by steam air decoking.

Thus, management wanted useful information relevant to the following questions:

1. Would a price decrease in the new service be likely to cause an increase in market share?
2. Would changes in cleaning time across the range of time relevant for the shotblasting service affect market share?
3. Would guaranteeing close to 100% energy efficiency after cleaning increase market share substantially?

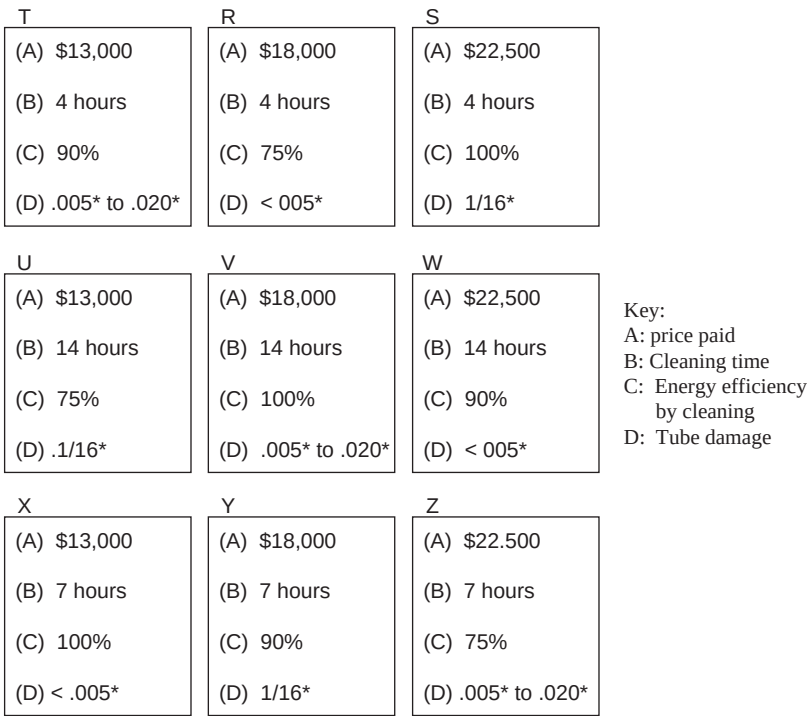


Fig. 5. Nine Shotblasting Furnace Cleaning Treatments.

Customers participating in this study were each asked to provide the share of business they would award to each of three product-service designs in solving nine buying problems. Each buying problem included one of nine designs for shotblasting as appearing in Fig. 5. Each of these nine designs offer different combinations of different levels of price, cleaning time required, energy efficiency achieved by the cleaning, and tube damage.

Each of the nine designs for shotblasting was pitted against the designs of the two competing technologies. Fig. 6 shows an example problem in this research study.

Table 2 shows the forecasts of shares of business for alternative shotblasting designs and the two competing product-services using competing technologies. A total of 81 possible shotblasting designs are possible from 3 levels of four product attributes: $3 \times 3 \times 3 \times 3 = 81$ designs. The data for each customer in the study and for all customers in the study

Assume that you are faced with the potential need to decoke a 2 pass. 6" OD, Direct Fired Furnace. From the information presented below. distribute 100 points among the three processes based on the likelihood that you would use that process to decoke the above furnace

Steam Air Decoking		
• Price ..	\$6.000	
• Cleaning Time ..	36 hrs	
• Energy Efficiency ..	75%	
• Tube Damage ..	0.020" Carburization Loss and Thermal Fatigue	_____
Shotblasting		
• Price ..	\$18.000	
• Cleaning Time ..	4 hrs	
• Energy Efficiency ..	75%	
• Tube Damage ..	< .005" Metal Loss	_____
Turbining		
• Price ..	\$20.000	
• Cleaning Time ..	120 hrs	
• Energy Efficiency ..	95%	
• Tube Damage ..	> 1/16" Metal Loss	_____
Total Points:		100

Fig. 6. Example Problem from Conjoint Study.

permit individual and total sample forecasts of purchase. Multiple regression analysis was the analytical tool for making these forecasts. See Woodside and Pearce (1989) for additional details of this study.

Note in Table 2 that dramatic drops in market share for shotblasting occur when energy efficiency achieved decreases from 90% to 75% while

Table 2. Example Findings: Forecast of Share of Business from Total Customers.

Service Design	Price ^a	Time in Hour	Tube Damage	Energy Efficiency	Market Share (%)		
					SAD ^b	Shotblasting	Turbining
1	High	4	.005	100	54	43	3
2	High	4	.005	90	56	41	3
3	High	4	.005	75	76	20	4
4	High	4	.0125	100	56	41	3
5	High	4	.0125	90	60	37	3
6	High	4	.0125	75	80	16	4
7	High	4	.0625	100	62	35	3
8	High	4	.0625	90	66	31	3
9	High	4	.0625	75	88	8	4
10	High	7	.005	100	55	42	3
11	High	7	.005	90	57	40	3
12	High	7	.005	75	78	20	4
13	High	7	.0125	100	57	40	3
14	High	7	.0125	90	60	37	3
15	High	7	.0125	75	80	16	4
16	High	7	.0625	100	63	34	3
17	High	7	.0625	90	67	30	3
18	High	7	.0625	75	89	9	4
19	High	14	.005	100	57	40	3
20	High	14	.005	90	59	38	3
21	High	14	.005	75	78	18	4
22	High	14	.0125	100	59	38	3
23	High	14	.0125	90	63	34	3
24	High	14	.0125	75	82	14	4
25	High	14	.0625	100	65	32	3
26	High	14	.0625	90	69	28	3
27	High	14	.0625	75	91	5	4
28	Medium	4	.005	100	49	49	2
29	Medium	4	.005	90	53	44	3
30	Medium	4	.005	75	72	24	4
31	Medium	4	.0125	100	50	47	3
32	Medium	4	.0125	90	56	41	3
33	Medium	4	.0125	75	76	20	4
34	Medium	4	.0625	100	57	40	3
35	Medium	4	.0625	90	60	37	3
36	Medium	4	.0625	75	84	12	4
37	Medium	7	.005	100	50	47	3
38	Medium	7	.005	90	53	44	3
39	Medium	7	.005	75	73	23	4
40	Medium	7	.0125	100	52	45	3
41	Medium	7	.0125	90	58	39	3

Table 2. (Continued)

Service Design	Price ^a	Time in Hour	Tube Damage	Energy Efficiency	Market Share (%)		
					SAD ^b	Shotblasting	Turbining
42	Medium	7	.0125	75	77	19	4
43	Medium	7	.0625	100	58	39	3
44	Medium	7	.0625	90	61	36	3
45	Medium	7	.0625	75	85	11	4
46	Medium	14	.005	100	52	45	3
47	Medium	14	.005	90	55	42	3
48	Medium	14	.005	75	74	22	4
49	Medium	14	.0125	100	55	42	3
50	Medium	14	.0125	90	58	39	3
51	Medium	14	.0125	75	78	18	4
52	Medium	14	.0625	100	60	37	3
53	Medium	14	.0625	90	65	32	3
54	Medium	14	.0625	75	87	9	4
55	Low	4	.005	100	44	53	3
56	Low	4	.005	90	47	50	3
57	Low	4	.005	75	68	28	4
58	Low	4	.0125	100	45	52	3
59	Low	4	.0125	90	49	48	3
60	Low	4	.0125	75	74	22	4
61	Low	4	.0625	100	49	48	3
62	Low	4	.0625	90	54	43	3
63	Low	4	.0625	75	79	17	4
64	Low	4	.005	100	45	52	3
65	Low	7	.005	90	48	49	3
66	Low	7	.005	75	68	28	4
67	Low	7	.0125	100	46	51	3
68	Low	7	.0125	90	50	47	3
69	Low	7	.0125	75	71	25	4
70	Low	7	.0625	100	50	47	3
71	Low	7	.0625	90	55	42	3
72	Low	7	.0625	75	80	16	4
73	Low	14	.005	100	47	50	3
74	Low	14	.005	90	50	47	3
75	Low	14	.005	75	69	27	4
76	Low	14	.0125	100	49	48	3
77	Low	14	.0125	90	52	45	3
78	Low	14	.0125	75	73	23	4
79	Low	14	.0625	100	54	43	3
80	Low	14	.0625	90	57	40	3
81	Low	14	.0625	75	82	14	4

^aHigh = \$22,500; medium = \$18,000; low = \$13,000.
^bSAD = steam air decoking.

dramatic increases in market share occur for steam air decoking. The market shares for shotblasting with 75 energy efficiency levels fall below 10% when this energy efficiency level is combined with a .0625 tube damage level.

The results of this study vary substantially among different groups of customers segmented by current share of business and by industry type (chemical versus petroleum customers). Consequently, adjustments to marketing strategies based on the results of the study varied substantially. The key finding in Table 2 noted by the marketing manager for shotblasting was the strong influence of tube damage on market share when tube damage reached a high level (1/16") but not when it increased from less than .005" to a range of .005–.020". He provided two implications from these results: (1) severe tube damage had to be prevented from occurring with shotblasting applications and (2) a guarantee of a low amount of tube damage would not have to be set prohibitively low to possibly influence market share positively for shotblasting.

MODELING ANTECEDENTS AND CONSEQUENCES OF CUSTOMERS' ASSESSMENTS OF VALUE

Fig. 7 summarizes the much of the discussion in the first half of this paper. This exhibit shows the two forces of total benefits and total costs that affect customer assessments of the value of a product–service design. Increases in total benefits cause increases in customer value assessments. Increases in total costs cause decreases in customer value assessments.

The consequences of increases in customer value assessments include increases in customer acceptance of a product–service design, purchases, share of business awards, and continuing purchases. These consequences lead to increases in the customer's comfort level and preference toward maintaining the status quo (Christensen, 2003; Huff et al., 2001; Woodside, 1996). Increasing preference for the status quo reduces the customer's stance toward and acceptance of new product–service designs built on proven superior new technological platforms. Executive leadership/stance favoring change serves as a countervailing force to reduce the customer's comfort level and increase customer acceptance of proven superior technologies; Huff et al. (2001) offer brilliant research illustrating the continuing battle between the forces favoring inertia versus change.

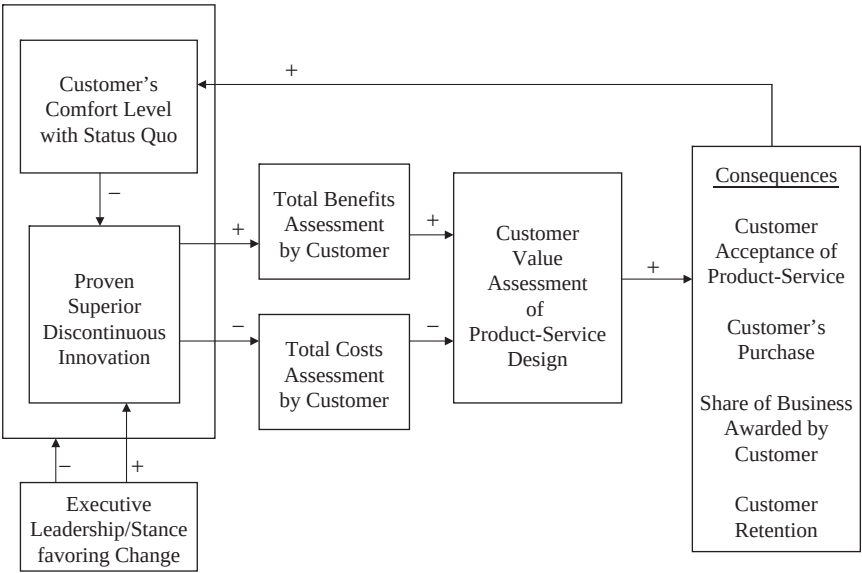


Fig. 7. Antecedents and Consequences of Customer Value Assessments of Product-Service Designs.

**ADVANCES IN RESEARCH IN VALUE THEORY,
MEASUREMENT, AND PRACTICE**

The remaining papers in this volume appear in one of four parts. The papers in Part A focus on advancing conceptualizations of value. The papers in Part B focus on metrics and measurement research into value. The papers in Part C focus on strategic aspects of value – how to create value. The papers in Part D focus on operational aspects, value propositions, and pricing.

Intangible Value in Buyer-Seller Relationships

In the second paper, Roger Baxter identifies dimensions of value provision through relationships in business markets with specific emphasis on the intangible aspects of value, which are important to long-term competitive advantage. The provision of value to the seller is the prime focus in this paper. The paper discusses the meaning of both the tangible and intangible relationship value and the interplay between them and notes the importance

of assessing the intangible part of the value, particularly the part that derives from the human aspects of the relationship.

Final Customers' Value in Business Networks

In the third paper, Stephan C. Henneberg and Stefanos Mouzas explore the value of the final customer in business networks. The preferences of the final customer define the concept of the network customer. The central argument of this paper is that companies within networks of value-creating relationships can act as integrators, which, by interlocking limited value perspectives, can approximate an absolute value horizon that includes network customer considerations. Such interlocking activity constitutes a managerial challenge.

Functions, Trust, and Value in Business Relationships

In the fourth paper, Thomas Ritter and Achim Walter analyze functions of business relationships and their impact on value perception. Applying a customer perspective, direct relationship functions are concerned about payment, quality, and volume. Indirect functions include innovation, access, and scouting. The study includes trust and the number of alternative suppliers. The empirical results illustrate the important role of direct and indirect functions for value creation.

Customer Value Metrics

The fifth paper focuses on customer value analysis and measurement, framing customer value management as one of the main antecedents of the company value creation process. The authors, Bruno Busacca, Michele Costabile, and Fabio Ancarani, build on three main pillars. First, the paper highlights the critical role of customer value in B-to-B markets, focusing on the links between the company's ability to manage customer value creation processes and the positive financial and economic outcomes generated by loyalty effects. Second, the paper develops key analytical stages for an understanding of customer value. The focus is on the customer value-chain concept, including consideration of the customer information and acquisition process and its decision rules. Third,

the paper illustrates the measurement process, offering an organizational framework for selecting the most suitable method for measuring perceived customer value.

Total Cost of Ownership and Customer Value in Business Markets

The sixth paper explores the use of the total cost of ownership (TCO) approach from the business marketing perspective. Gabriela Herrera Piscopo, Wesley Johnston, and Dan N. Bellenger describe how TCO provides a method to estimate all costs associated with the acquisition, use, and disposal of a good or service over the lifetime of the purchase. Organizational buyers can employ TCO analysis to evaluate alternative offerings from suppliers, to assess ongoing supplier performance, and to drive process improvement. Sellers can use TCO models to measure, document, and communicate the value that their offering represents to a customer in the way of lower costs relative to the next best alternative. TCO analysis can be a powerful selling tool to demonstrate concrete customer value creation for alternatives that deliver comparable benefits.

Linking Customer Value to Customer Share in Business Relationships

The seventh paper provides confirmatory evidence supporting the strong association between customer value assessment and share of business. Wolfgang Ulaga and Andreas Eggert report findings of a cross-sectional study among purchasing managers in US manufacturing industries that indicate a positive link between customer value and customer share in business relationships. Relationship benefits have a stronger impact on customer share than do relationship costs, such that sourcing and operation benefits appear to represent the most promising levers for effective customer share management. The results finally suggest that researchers should operationalize customer share in relative terms when investigating key supplier relationships across different industries.

Configurations and Control of Resource Interfaces in Industrial Networks

In the eighth paper, Enrico Baraldi and Torkel Strömsten identify that the role of management control receives insufficient attention in the

literature on value creation. Their paper investigates the role of control in value creation in industrial networks. The aim is to examine the management and control of interfaces between key resources within and between firms, in the networks surrounding firms, when they attempt to create value. All the firms that take part in a value creation process have both formal and informal control systems: these firms have budgets, specific routines, reward systems, and sanctioned “ways to behave.” The paper relates the IMP (Industrial Marketing and Purchasing) Group’s research on interaction, relationships, and networks with control literature and presents a framework for controlling resource interfaces in a network setting. Two in-depth cases illustrate the role of control in value creation.

Creating Superior Value through Network Offerings

In the ninth paper, Bernard Cova and Robert Salle draw on the experiences of project marketing and solution selling to improve the understanding of how to create superior value for customers. Project marketing and solution selling have both developed approaches to deal with complex marketing situations for a number of years now. The upstream mobilization of customer network actors and the downstream enlargement of the content and scope of the offering are the key features of these approaches.

Competence-Based Value Framing for B-to-B Customers

The 10th paper shows how business suppliers set up processes allowing the translation of their competencies into value for the customers. The authors, Francesca Golfetto, Fabrizio Zerbini, and Michael Gibbert, seek to complement the dominant view in which competencies are seen mainly as valuable for the firm owning the competencies, but not for that firm’s customers. In so doing, the paper contributes to two bodies of research: the notion of core competencies in strategic management and the notion of value for customer in business marketing. These two bodies of research interact infrequently thus far, leaving the how question largely unanswered. This question is relevant because competencies are immaterial, tacit, and non-tradable assets.

VALUE DELIVERY AND VALUE-BASED PRICING IN INDUSTRIAL MARKETS

The 11th paper proposes an own model of customer value conceptualization in business markets; first, based on several rounds of testing, this theoretically grounded model in managerial practice indications exists to conclude that this model may offer benefits over current models. Second, the paper provides a comprehensive survey of pricing approaches in industrial markets. The author, Andreas Hinterhuber, integrates this literature overview with own empirical findings. Concurrently, the paper summarizes extant research on the link between pricing approach and profitability in industrial markets. Third, the paper proposes a framework for value delivery and value-based pricing strategies in industrial markets. Proposing such a framework is both useful as well as necessary.

Value Creation Options for Contract Manufacturers

The twelfth paper studies how suppliers in the highly commoditized metalworking industry try to realize new types of customer value. The authors, Paul Matthyssens, Koen Vandembemt, and Sara Weyns, identify “ideal” value positions pursued by Belgian contract manufacturers and service providers in order to survive in an industry characterized by fierce price competition from low-labor cost countries. Further, the paper shows how companies can migrate to these “ideal” value offerings. Key success factors and potential traps for each ideal type are identified. Market strategy transition necessitates an internal “alignment” strategy and an external “coevolution” with chain partners.

CONCLUSION

Certainly, this volume does not offer the definitive body of work in describing and understanding value in business markets. The volume provides a number of useful insights and in-depth case reports on how executives in business markets define and use value concepts in planning and implementing strategies. While working separately in preparing their papers for this volume, the authors offer a surprisingly cohesive collective perspective of the antecedents, processes, and outcome of value in B-to-B contexts. The editors hope that the reader concurs with this overall assessment.

REFERENCES

- Best, R. J. (2009). *Market-based management*. Upper Saddle River, NJ: Pearson–Prentice Hall.
- Christensen, C. M. (2003). *The innovator's dilemma*. New York: Harper Collins.
- Gale, B. T. (1994). *Managing customer value*. New York: Free Press.
- Gigerenzer, G., & Todd, P. M. ABC Research Group. (2000). *Simple heuristics that make us smart*. New York: Oxford University Press.
- Huff, A. S., Huff, J. O., & Barr, P. (2001). *When firms change direction*. New York: Oxford University Press.
- Kim, W. C., & Mauborgne, R. (2005). *Blue ocean strategy: How to create uncontested market space and make competition irrelevant*. Cambridge, MA: Harvard University Press.
- Louviere, J. J., & Islam, T. (2008). A comparison of importance weights and willingness-to-pay measures derived from choice-based conjoint, constant sum scales and best–worst scaling. *Journal of Business Research*, 61, 903–911.
- Meyer, C., & Schwager, A. (2007). Understanding customer experience. *Harvard Business Review*, 85(2), 116–126.
- Teas, R. K. (1993). Expectations, performance evaluation, and consumers' perceptions of quality. *Journal of Marketing*, 57, 18–34.
- Tufte, E. R. (2001). *The visual display of quantitative information* (2nd ed.). Cheshire, CT: Graphics Press.
- Woodside, A. G. (1988). Marketing success and failures of new lamp post technologies. Unpublished industry report. Tulane University, New Orleans.
- Woodside, A. G. (1996). Theory of rejecting, superior new technologies. *Journal of Business & Industrial Marketing*, 11(3/4), 25–43.
- Woodside, A. G. (2003). Middle-range theory construction of the dynamics of organizational marketing-buying behavior. *Journal of Business & Industrial Marketing*, 18(4/5), 309–335.
- Woodside, A. G., & Pearce, W. G. (1989). Testing market segment acceptance of new designs of industrial services. *Journal of Product Innovation Management*, 6, 185–201.
- Woodside, A. G., & Wilson, E. J. (2000). Constructing thick descriptions of marketers' and buyers' decision processes in business-to-business relationships. *Journal of Business & Industrial Marketing*, 15(5), 354–369.

This article has been cited by:

1. Bekir Bora Dedeoğlu, Kemal Gürkan Küçükergin, Sevgi Balıkçioğlu. 2015. Understanding the Relationships of Servicescape, Value, Image, Pleasure, and Behavioral Intentions Among Hotel Customers. *Journal of Travel & Tourism Marketing* **32**:sup1, S42-S61. [[Crossref](#)]
2. Stephan Liozu, Andreas Hinterhuber. 2014. Pricing capabilities: the design, development, and validation of a scale. *Management Decision* **52**:1, 144-158. [[Abstract](#)] [[Full Text](#)] [[PDF](#)]
3. Saila Saraniemi. 2010. Destination brand identity development and value system. *Tourism Review* **65**:2, 52-60. [[Abstract](#)] [[Full Text](#)] [[PDF](#)]